

CITY OF PALM SPRINGS, CA

PROCUREMENT CARD POLICIES AND PROCEDURES

1. PURPOSE

The Procurement Card represents the City's trust in you and your empowerment as a responsible employee of the City of Palm Springs to safeguard and protect the City's assets. As a cardholder, you assume the responsibility for the protection and proper use of the Procurement Card. Procurement Cards are issued only to those who in the performance of their official City duties warrant having a card. Possession of a P-Card is not an employee right and is not based on job title, rank, or seniority.

These Policies and Procedures are instructions on the proper use of the City of Palm Springs Procurement Card for purchases of supplies, materials and equipment not to exceed the limits established for your card. All limits are subject to the final approval of the Procurement and Contracting Manager and Finance Director, and the City Manager if necessary.

2. OBJECTIVES

By using Procurement Cards instead of other payment options, the City aims to:

- Reduce procurement and payment processing costs for low dollar expenditures.
- Improve vendor relations by making “doing business” with the City easier, and encourage utilizing local Coachella Valley vendors for transactions not otherwise covered via current cooperative contracts, RFQs, IFBs, BPOs, etc.
- Enhance internal control and accountability by better identifying specific employees making minor supply purchases on behalf of the City, and improving the accuracy of account distributions between programs and projects.
- Take advantage of cost-saving opportunities for low dollar expenditures by purchasing on the Internet and through catalogs.

3. GENERAL INFORMATION

3.1 Procurement Card Role Definitions

Cardholder. The cardholder is the City employee whose name appears on the Procurement Card. The cardholder is responsible for ensuring that the card is used properly and that billings are reconciled in accordance with procedures herein.

Approving Official. The Approving Official is responsible for reviewing the charges for a group of cardholders to ensure that purchases are appropriate and allowed, and that billing reconciliation is done promptly and correctly. Department Heads may fill this role or assign it to a subordinate.

Program Administrator. The Program Administrator, reporting to the Procurement and Contracting Manager, provides overall administration and oversight of the procurement card program.

Issuing Bank. U.S. Bank is the bankcard contractor who will issue the Visa procurement cards.

3.2 Card Issuance and Authorization

The VISA Procurement Card will have your name and City of Palm Springs seal embossed on the Card. Authorization to use this Card is restricted to you individually. It may not be delegated. No member of your staff, your family, your supervisor or anyone else may use this Card. It has been specially designed to avoid confusion with your personal credit cards. The Card is to be used for OFFICIAL CITY BUSINESS ONLY and MAY NOT BE USED FOR PERSONAL PURCHASES. The issuing bank has no individual cardholder information other than the cardholder's work address. The issuing bank maintains no personal records, social security numbers, etc.

3.3 Cardholder Agreement

Prior to receiving a Procurement Card, you will receive a copy of the Cardholder Agreement and be informed of the maximum dollar amount for each single purchase and a total for all purchases made with the Procurement Card within a given 30-day billing cycle.

4. POLICIES

- The Palm Springs Municipal Code authorizes the Procurement and Contracting Manager (as a designee of the City Manager) to delegate procurements.
- The Procurement and Contracting Division will issue Procurement Cards to regular employees (that are not on probation) as requested by the employee's Department Head and if approved by the Procurement Manager and Finance Director, and the City Manager if necessary. Retired, suspended, temporary, terminated, or other non-city employees are not eligible.
- Employees will not use City Procurement Cards for personal expenses even if the intent is to reimburse the City later. Charging personal expenses on City Procurement Cards is a misuse of City funds and a serious breach of the City's procurement policy. Doing so—even if the intent is to reimburse the City later—will result in disciplinary action, up to and including termination.
- Procurement Cards must not be used for purchases when the cardholder has a personal interest in the merchant or knowledge that a purchase would create a conflict of interest. This includes a relationship where inappropriate personal gain may result. For example, buying from a relative or close friend creates a perception of personal conflict that should be disclosed before a purchasing transaction is made.

5. CARD RESTRICTIONS

The Procurement Card can be used to purchase supplies and materials which are authorized and that do not exceed the single transaction limit.

The Procurement Card is not to be used for services of any kind, or rentals and lease payments, due to insurance requirements and the complexity of IRS 1099 reporting. Internal Revenue Service regulations require the City to file informational returns (Form 1099s) for each vendor performing a service or receiving a rent/lease payment for \$600 or more (within a calendar year). The IRS may assess a penalty to the City for each Form 1099 not filed or filed with missing information. The City requires that any vendor performing a service on City property must be properly insured and evidence of said insurance must meet all requirements of the City Attorney/Risk Manager and be on file in the Procurement office prior to commencement of work. Therefore, all services are to be acquired via the normal Requisition or Blanket PO method, not via the Procurement Card.

5.1 Examples of Prohibited Services

1. Professional service fees, such as fees to attorneys, accountants, and architects.
2. Repair or maintenance services, including payment for parts or materials used to perform the services as long as supplying the parts or materials was incidental to providing the service.

5.2 Use of Procurement Card for Travel and Meals

The City Manager must approve all cards that will have authorization to procure travel, hotel, meals and entertainment if necessary. If an authorized Procurement Card is used for travel purposes, the individual must follow the City's Travel Policy and reimbursement procedures herein.

If approved for such use, the Procurement Card may be used for airline tickets, travel agency service fees, hotel room rates and any applicable taxes and rental car costs. In addition, a Procurement Card may also be used to charge car rental, gas, hotel and airport parking, commercial transportation, including trains such as Amtrak, buses, taxis and shuttles. A Procurement Card may also be used for training and conference registrations.

Although the preferred means of paying for meals while traveling is by travel advance or reimbursement of travel expenses after the fact, if a Procurement Card is used to charge meals, the cardholder must not exceed the per diem allowance established by the City's Travel Policy. In addition, if the cardholder uses the Procurement Card to pay for meals while traveling, he/she may not also submit it for reimbursement based upon the daily per diem allowance. If the Procurement Card is used to pay for meals, the employee will not be reimbursed for any per diem amounts not used.

Sometimes it may be necessary to use the Procurement Card to purchase food for a business meeting or City related purpose. Food purchased for a business meeting or City related purpose is permitted as long as prior authorization is obtained through your Department Head, Assistant City Manager or City Manager. When submitting a meal purchase receipt for reconciliation, the following information is required on the receipt:

- Name and public purpose of meeting or description of issues discussed.
- Date of meeting.
- Names of individuals who consumed the meal.

Whether for travel, business meetings or other City related purposes, use of the Procurement Card to purchase meals is subject to the following limitations:

- Alcohol is not a permitted expense.
- Per IRS guidelines, the allowable tip amount is 15%. Cardholders are responsible for tips which exceed 15%.
- An itemized meal receipt is required. The final sales draft showing only the total will not be sufficient.

5.3 Prohibited Uses

The use of the Procurement Card is strictly PROHIBITED for the following:

1. Cash advances, building modifications, unapproved fixed assets or additions thereto.
2. Computer Equipment and Software.
3. Communications Equipment (e.g., radios, telephones, cell phones).
4. All services, whether performed by individuals or companies.
5. Leases.
6. Rental of space or equipment.
7. Any purchase not directly related to the official conduct of City business.
8. Any item prohibited by the City's Personnel Rules.

Your Department Head may apply additional restrictions. It is your responsibility to know what your department's restrictions are.

6. MISUSE OF THE PROCUREMENT CARD

The Procurement Card represents the City's trust in you and your empowerment as a responsible employee of the City of Palm Springs to safeguard and protect the City's assets. As a cardholder, you assume the responsibility for the protection and proper use of the Procurement Card.

6.1 Personal Misuse

- Purchases using the Procurement Card for the sole benefit of the employee.
- Assignment or transfer of an individual Procurement Card to an unauthorized person.
- Purchases from family, friends or relatives where there is personal gain or a conflict of interest, perceived or real.
- Use of a Procurement Card by a retired, suspended, or terminated employee.

6.2 Administrative Misuse

- Lack of proper and timely reconciliation of individual Cardholder accounts.
- Use of the Procurement Card in direct violation of acquisition goals (i.e., using the Procurement Card for commodities available through contract or preferred suppliers).

- Intentionally splitting an order to circumvent transaction spending limits.

Any variance and/or violation of the procedures and processes set forth in the Procurement Card Program will be considered improper use of the card and will result in card cancellation, disciplinary action, up to and including termination of employment. Misuse of the card could result in discipline and/or personal liability for dishonored charges. In the event that an employee misuses the card and charges items that are prohibited as personal use items, the cardholder will be responsible for restitution to the City of the unauthorized expense.

7. PROOF OF PURCHASE DOCUMENTATION

With the authority to purchase specific goods comes the responsibility to maintain adequate documentation to support the legitimate business purpose of the transaction. In addition to sales receipts, packing slips and invoices, the following are examples of supporting documentation:

- Copies of order forms or applications.
- Internal order form.
- Cash register receipts.

In order to be complete, documentation should include the following information, along with any other pertinent data:

- Date.
- Vendor.
- Dollar Amount of Transaction.
- Sales Tax (Make a note of any transactions that require a sales tax accrual).

In cases where receipts are not available for items that are directly billed to the Procurement Card (i.e., monthly subscription charges), proper documentation may be provided through the transaction log. The Finance Department will review all instances of lost receipts and repeated occurrences may result in suspension of your Procurement Card.

8. RECONCILIATION

During the month as charges are made, the cardholder needs to write down on the Procurement Card Transaction Log what was purchased, the cost, and what accounting code to charge. Store actual charge slips or receipts in an attached envelope. Charge receipts will need to be turned in along with the Transaction Log of purchases.

Monthly statements will be distributed to individual cardholders. It is the cardholder's responsibility to review and approve all transactions on their monthly statement.

The Approving Official should review and reconcile the individual cardholder statements and submit to Accounts Payable within the established time frame specified in the Procurement Card Program.

The Approving Official will notify cardholders and supervisors when the charge receipts and Transaction Log must be turned in to them. The Approving Official will compare the receipts with the itemized purchases listed on the purchasing card statement and reconcile the bills.

9. RETURN OF MERCHANDISE

In the event the cardholder determines that an item must be returned for any reason, the item and credit card receipt must be returned to the merchant/vendor as soon as possible. Proof of charge back to the applicable procurement card must be received before the cardholder leaves the merchant/vendor location. At no time is the cardholder allowed to accept a store gift card or cash in lieu of a credit adjustment to the procurement card. The charge back receipt must be attached to the cardholder statement which reflects the variance and must include a brief description of the item and the reason for return. Any returns should be discussed with and approved by the cardholder's approving official prior to the return.

10. PROCUREMENT CARD AUDITS

To ensure the continued success of the Procurement Card Program, periodic, random audits will be performed by the City's Procurement and Contracting Division and Finance Department. The purpose of the audits will be to ensure that cardholders are adhering to the established policies and procedures.

Audit steps will include:

- Card use for authorized purchases.
- Compliance with existing vendor contracts.
- Appearance of splitting of orders to circumvent established transaction limits.
- Proper documentation (in the form of receipts, packing slips, etc.) to support Card transactions.
- Timely reconciliation of the cardholder's account.
- The cardholder forwards supporting documentation and related reconciliation to the Finance Department.
- Review of actual card transaction and 30-day billing cycle limits to validate the need for the card. Procurement and Contracting may adjust transaction limits as necessary.

Any suspected misuse of the Procurement Card will be thoroughly investigated and a report will be issued to the cardholder's Department Head, Assistant City Manager or City Manager for possible disciplinary action if applicable.

11. REQUESTING PROCUREMENT CARDS

11.1 Criteria

Procurement Cards will only be issued to regular employees. Department Heads should consider the following factors in requesting Procurement Cards for their staff:

- Ability to hold the employee accountable for purchases made on the Card.
- Recognition that delegating authority to an employee to purchase via a Procurement Card is not conceptually different from delegating authority to them to purchase from an open contract on a vendor account. In fact, by issuing cards to named holders, accountability is greatly enhanced. Department Heads should also consider the added discretion and increased potential for abuse in requesting procurement cards for their staff.
- Whether the employee's job function warrants the issuance of a Procurement Card. Frequency of use, diversity of vendors and dollar value of purchases made by the employee should be considered. There are other methods to make purchases for those that infrequently or occasionally expend City funds, including for emergency situations.

11.2 Procedure

Department Heads may request authorization for their staff to participate in the Procurement Card program by preparing and submitting a completed Procurement Card Request Form. The form may be found on the City's "N" drive in the Procurement folder. Card requests must include a general description of the materials and supplies that are expected to be procured with the Procurement Card. The maximum card limits that a Department Head may request for their staff is \$1,000 per transaction and \$5,000 per 30-day billing cycle. On an as needed basis only, Department Heads may request higher limits by filling out the "Supplemental Justification" section of the Request Form. Supplemental Requests for higher limits must be well documented and supported by the job duties of the employee and are subject to the approval of the Procurement and Contracting Manager, the Finance Director, and City Manager if necessary.

11.3 Approval

The Procurement and Contracting Manager and Finance Director will review Request Form applications received, and shall endeavor to clarify or modify such applications as necessary in conjunction with the requesting Department Head, before granting approval. Department Head applications, Travel and Meal usage authorization, and Supplemental Requests for higher limits are subject to approval by the City Manager. Once approved, the City's Program Administrator will then order the procurement card and the cardholder will be given a Cardholder Agreement at their training session prior to having the card issued.

11.4 Cardholder Agreement and Policies and Procedures

Before receiving a Procurement Card, employees will sign both a "Cardholder Agreement" and these "Policies and Procedures" contained herein setting forth their obligations under this program.

12. PROCUREMENT CARD AUTHORIZATION

Additional authorization controls have been added to protect the City. When a merchant seeks authorization for a purchase from the issuing bank, the system will check each individual cardholder's single purchase limit, the cardholder's 30-day limit, and the type

of merchant where the cardholder is making a purchase before the transaction is authorized.

12.1 Authorization Limits

Single Purchase Limit: Each single purchase is limited and must comply with the City's procurement policy as set forth in Title 7 of the Municipal Code.

Cardholder's 30-Day Limit: Each cardholder will be given a maximum limit per month. This amount has been determined by the Department Head subject to the approval of the Procurement and Contracting Manager and Finance Director.

12.2 Conditions of Use

The Procurement Card is a supplement to the procurement process. As with other procurement methods the following conditions must be met when using the Procurement Card:

- A. The Procurement Card should be used whenever possible in lieu of petty cash, low dollar supplies not otherwise covered under other procurement processes, manual checks, claim vouchers, small purchase orders or purchase requisitions when the dollar amount for a single item or group of items is under the cardholder's single purchase limit. The Procurement Card shall not be used to circumvent established citywide contracts (e.g., office supplies) or spending authority limits.
- B. Purchases must not be split to circumvent transaction limits or other procurement regulations.
- C. Each single purchase may be comprised of multiple items, but the total including tax and freight cannot exceed the single purchase dollar limit on the Procurement Card.
- D. If a purchase will exceed the established card limit, then the City's normal purchasing procedures must be followed.
- E. Cardholders must ensure that sufficient funds are available in the budget prior to making any purchases. The Approving Official can assist you in verifying available funds.

The issuance of a Procurement Card in a cardholder's name does not allow the issuing bank to do a credit check on the cardholder's personal credit. The issuing bank will not request any personal information from the cardholder, nor should any personal information be furnished. If a purchase made with a Procurement Card is questioned, the cardholder must be able to explain the nature of the purchase. If the cardholder cannot substantiate that the purchase was necessary and for official use, the Department Head will address this situation in accordance with City policy.

13. PURCHASING PROCEDURES

13.1 Making the Purchase

Upon selecting your purchases, present them and your Procurement Card to the merchant. You will receive a printed receipt/sales draft that includes the following information:

- Description of the goods purchased.
- Quantity purchased.
- Price per item.
- Any shipping and/or handling costs.
- Amount of sales tax and total amount.

The merchant will obtain authorization for the transaction via either a telephone call or direct telecommunication link to the VISA authorization network. Before you sign the printed receipt/sales draft, verify that the amount is correct and that sales tax has been added. You will receive one copy of the signed sales draft. Attach this copy to your Procurement Card Transaction Log.

13.2 After the Purchase

Upon completing a transaction using a Procurement Card, the cardholder shall immediately record the purchase on the Procurement Card Transaction Log including: date of purchase/receipt/invoice/confirmation number; description of purchases; vendor's name; transaction amount; and account number.

13.3 Telephone or Mail Order Procedures

If you are authorized to make telephone or mail orders with your Procurement Card, you must have documentation for all orders. If no external documentation is available you must produce a signed memorandum with the following information: description of the goods purchased; quantity purchased; price per item; any shipping and/or handling costs; amount of sales tax; total transaction amount; and an explanation of why there was no receipt. Attach this memorandum to the Procurement Card Transaction Log in lieu of the receipt. If you place an order through the mail, maintain a copy of your order form and attach the order form and sales receipt, if available, to the Procurement Card Transaction Log.

13.4 Internet Orders

Most suppliers accepting orders over the Internet will provide an e-mail order confirmation. Print this confirmation and retain it with your other Procurement Card records. If this is not the case, print the completed order screen prior to submitting the order.

14. STATEMENT PROCESSING PROCEDURES

At the close of each billing cycle, each employee who made purchases will receive a Statement of Account from U.S. Bank. The statement will itemize each transaction that was charged to your Procurement Card account.

Upon receipt of the statement, each cardholder must complete the following steps within 5 days:

1. Review the statement for accuracy and reconcile the bank statement with the Procurement Card Transaction Log and vendor receipt/invoices.
2. Assemble the reconciled statement packet in the following order: Statement of Account, Procurement Card Transaction Log, receipts, and charge back or return receipts with description (if applicable).
3. Sign the statement and forward to the Approving Official within five (5) days of receipt.

If the cardholder is unable to review his/her Statement of Account within the five (5) day period, all paperwork including receipts and the Procurement Card Transaction Log must be forwarded to the Approving Official to process in the cardholder's absence. Upon a cardholder's return from vacation, the cardholder will be required to sign the original Statement of Account. If a cardholder had no purchase activity during a particular billing cycle, no statement will be generated.

15. APPROVING OFFICIAL STATEMENT RECONCILIATION

Within five (5) working days after the Approving Official receives the bank statement and documentation from each Cardholder, the Approving Official will be responsible for the following:

1. Comparing the bank statements and documentation received from cardholders with the U.S. Bank Detail Invoice and Approving Official Summary report.
2. Reviewing all charges to ensure that purchases are appropriate and not in violation of procedure.
3. Reviewing, approving and signing the bank statement and Procurement Card Transaction Log for each cardholder in his or her department.
4. Retaining copies of all documentation, Bank Statements, Procurement Card Transaction Log, and receipts for at least 180 days.

The Approving Official will obtain Department Head approval and forward the packet to Finance for payment within ten (10) days of the statement date.

16. DEFECTIVE ITEMS AND DISPUTES

If items purchased with the Procurement Card are found defective, the cardholder has the responsibility to return the item(s) to the merchant for replacement or to receive a credit on the purchase. If the merchant refuses to replace or correct the faulty items, then the purchase of this item will be considered to be in dispute and will not be paid until resolved. A disputed item must be noted on the cardholder's Statement of Account so it will not be paid until the problem is resolved. To process a dispute, consult with your Approving Official, then notify the issuing bank in writing within 60 days after the date of the first statement on which the disputed charge occurred.

17. LOST OR STOLEN CARDS

When a Procurement Card is lost or stolen the cardholder must immediately:

5. Notify the issuing bank by calling U.S. Bank Customer Service at 1-800-344-5696.
6. Provide the following information to the Approving Official: the cardholder's complete name; Procurement Card number; the date reported to police, if stolen; date the issuing bank was notified; and any purchase(s) made by the cardholder on the day the Procurement Card was lost or stolen.

A new Procurement Card will be mailed after the loss or theft has been reported to the issuing bank. A new account number will be assigned to the new Procurement Card. IT IS IMPORTANT THAT THE CARDHOLDER NOTIFY THE ISSUING BANK, HIS OR HER APPROVING OFFICIAL, AND THE DIVISION OF PROCUREMENT AND CONTRACTING OF THE LOSS OR THEFT OF A PROCUREMENT CARD IMMEDIATELY.

18. CHANGES TO CARDHOLDER INFORMATION

Changes to a cardholder's name, work address, and department should be immediately reported to the Approving Official, who will forward the information to the Division of Procurement & Contracting.

19. SEPARATION, TRANSFER, OR REVOCATION OF CARD PRIVILEGES

Upon leaving the City, transferring to another department or loss of Procurement Card privileges, a cardholder must return his or her Procurement Card to his or her Approving Official or Department Head, who will forward it to the Division of Procurement and Contracting. Concurrent with surrendering the card, the cardholder must deliver documentation of all outstanding purchases (including approval and transaction logs and associated receipts). The City Manager, Assistant City Manager, Department Head and Procurement and Contracting Manager have absolute discretion to suspend or revoke a cardholder's privileges at any time and for any reason.

20. RESPONSIBILITIES

20.1 Cardholders. Safeguarding the Procurement Card; complying with City's Procurement Card Policies and Procedures; ensuring that the goods purchased are received, inspected, and delivered intact to the authorized users or appropriate City personnel; completing the Procurement Card Transaction Log; timely processing of monthly statements of account; and timely reporting of lost or stolen Procurement Card to U.S. Bank, the Department Head, and the Procurement and Contracting Division.

20.2 Department Heads. Request issuance of Procurement Cards and set procurement limits subject to approval; develop and implement departmental procedures to ensure that payments are appropriately reviewed and approved, processed in a timely manner and that all supporting documentation is retained and reconciled to monthly statements; and oversee implementation of these guidelines, collect Procurement Cards upon separation or transfer.

20.3 Approving Officials. Compare bank statements and documentation received from cardholders; determine if account distribution for each purchase is correct and that sufficient funds exist for transaction; review transactions for adherence to policies; ensure that disputed charges are correctly reported; approve and sign all cardholder Transaction Logs and account statements; collect Procurement Cards upon separation or transfer.

20.4 Procurement and Contracting. The Division of Procurement and Contracting will manage the program in accordance with these policies and procedures and the U.S. Bank Program Administrator Guide, and serve as the contact for U.S. Bank. They will issue Procurement Cards as requested by Department Heads subject to approval of the Procurement and Contracting Manager, Finance Director, and City Manager if necessary. Procurement will also replace lost or stolen Cards. The Division will conduct periodic random audits of issued cards and all transaction activity and report any violations.

20.5 Human Resources. Verify that Procurement Cards have been retrieved from employees separating from the City.

20.6 Accounts Payable Staff. Pay U.S. Bank within 45 days of the Bank Statement billing date in accordance with the U.S. Bank Designated Billing Office Guide.

21. CONCLUSION

A City issued Procurement Card is a convenient and useful tool to assist you and your department in the acquisition of goods. However, with this tool there are certain guidelines that must be strictly followed. Please be aware that improper use of your Procurement Card will not be tolerated and may result in disciplinary action, up to and including termination.

Proper use of the Procurement Card for your business transactions will not only save the City both money and time, but will help you avoid potential disciplinary action. These policies and procedures cannot cover every issue, exception or contingency that may arise in using City Procurement Cards. Accordingly, the basic standard that should always prevail is to use common sense and good judgment in the use and stewardship of City resources.

If you have any questions concerning the use of your Procurement Card or the City's Procurement Card Program, please contact your approving official or the Procurement & Contracting Division.